Decision-making guide

CVP Analysis

Table of Contents

1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes market, decision areas such as Marketing, Production, Decision checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

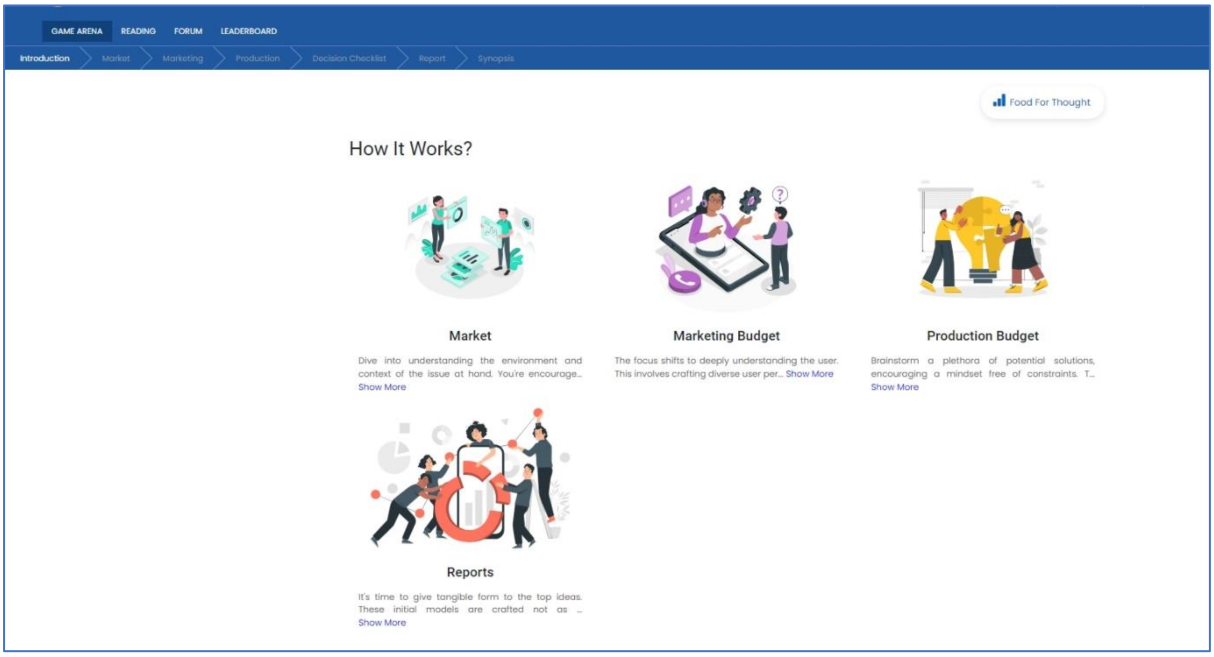


Figure 1 The Gaming Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the case scenario, market outlook and the diverse array of decisions required.

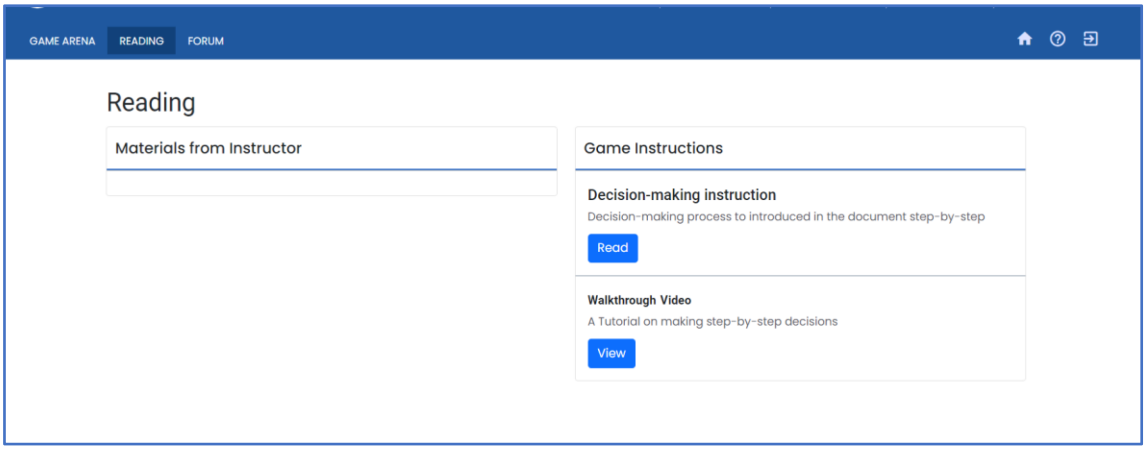


Figure 2 The Reading Section

1.3 Forum

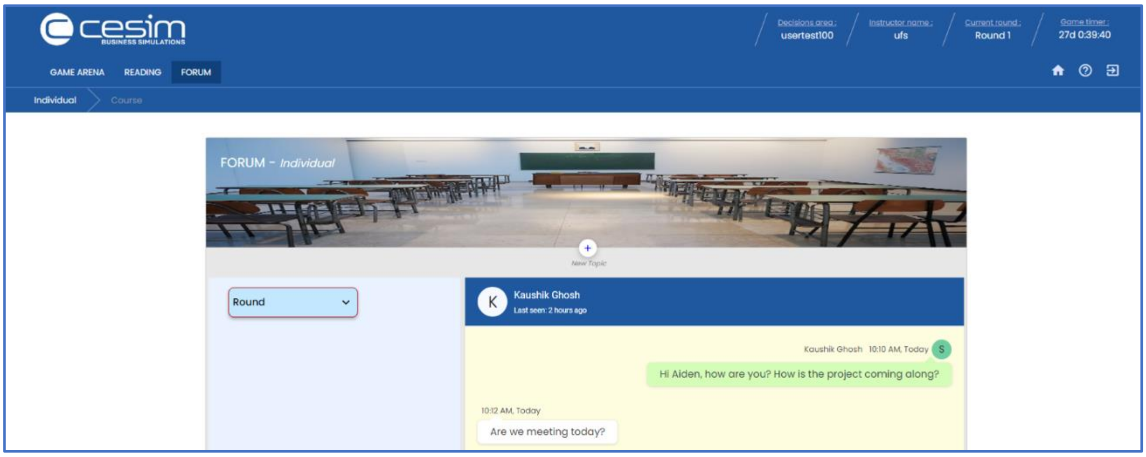


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

A leading clothing manufacturer specializing in high-quality Jeans and Tops holds a 30% market share in a local market that is growing at 5%. With a strong emphasis on competitive pricing and product quality, the company is well-positioned to meet the rising demand. The industry is highly competitive, featuring key players like DenimCraft, LuxeThreads, and FashionInnovate, each excelling in pricing, quality, and innovation. As the factory manager, participants are tasked with optimizing profit margins through strategic decisions on pricing, quality, and design, leveraging insights into competitors' strengths and weaknesses. Success of the simulation lies in optimizing production efficiency, achieving the KPI, operating margin of 10% or higher.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

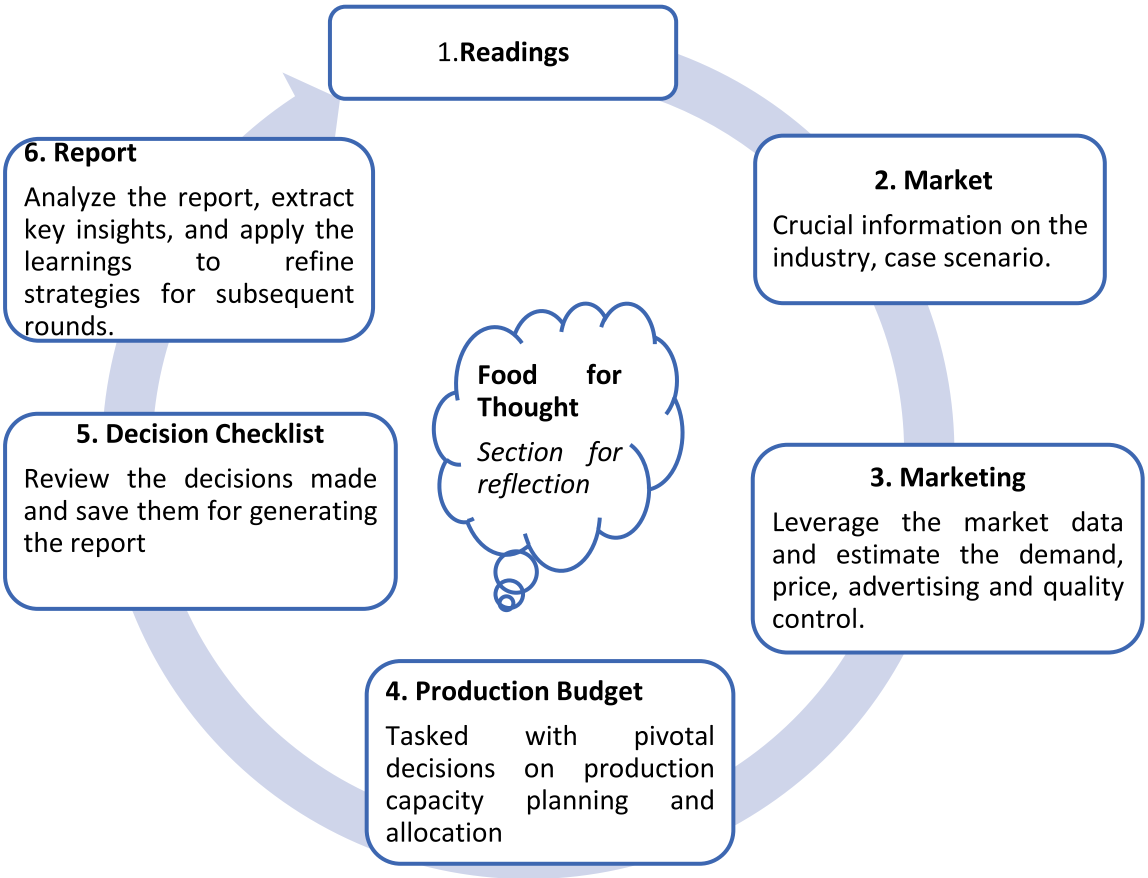


Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

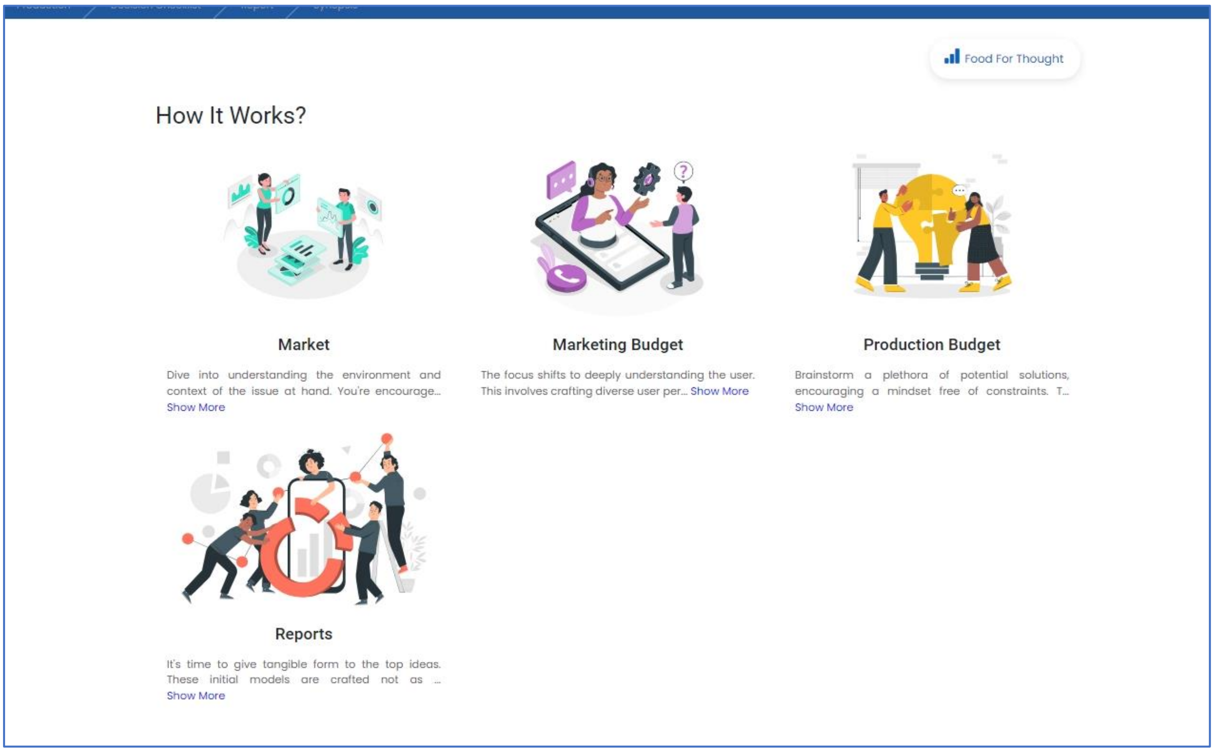


Figure 5 The Introduction Tab

2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

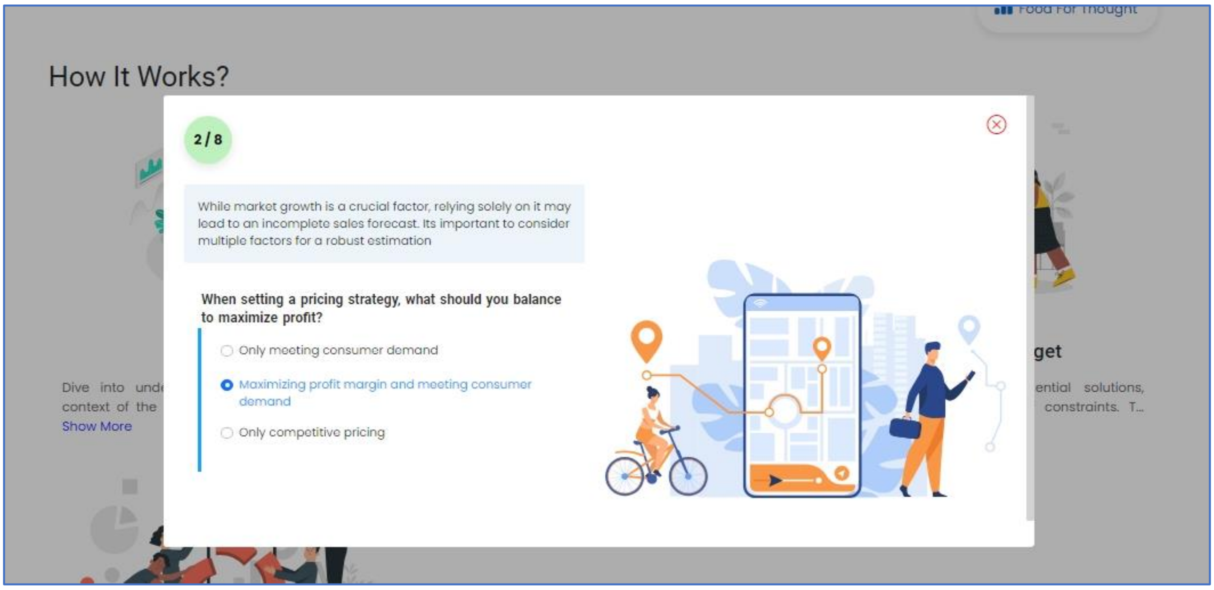
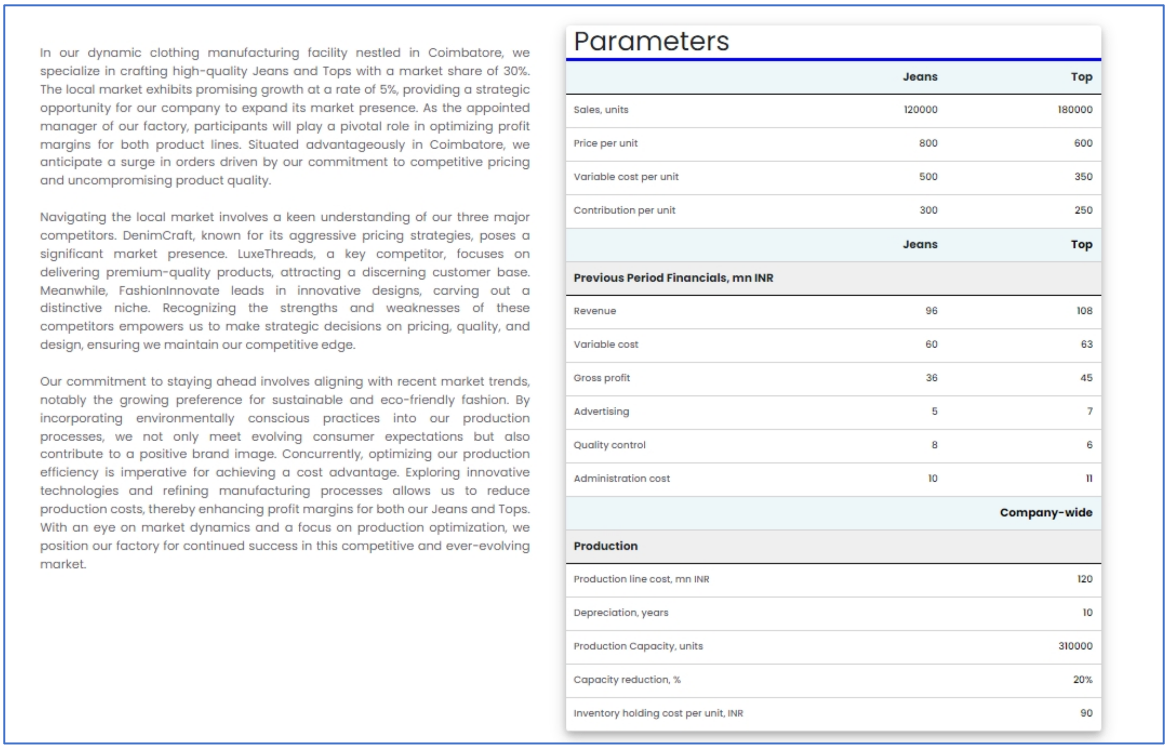


Figure 6 The food for Thought Section

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.



In our dynamic clothing manufacturing facility nestled in Coimbatore, we specialize in crafting high-quality Jeans and Tops with a market share of 30%. The local market exhibits promising growth at a rate of 5%, providing a strategic opportunity for our company to expand its market presence. As the appointed manager of our factory, participants will play a pivotal role in optimizing profit margins for both product lines. Situated advantageously in Coimbatore, we anticipate a surge in orders driven by our commitment to competitive pricing and uncompromising product quality.

Navigating the local market involves a keen understanding of our three major competitors. DenimCraft, known for its aggressive pricing strategies, poses a significant market presence. LuxeThreads, a key competitor, focuses on delivering premium-quality products, attracting a discerning customer base. Meanwhile, FashionInnovate leads in innovative designs, carving out a distinctive niche. Recognizing the strengths and weaknesses of these competitors empowers us to make strategic decisions on pricing, quality, and design, ensuring we maintain our competitive edge.

Our commitment to staying ahead involves aligning with recent market trends, notably the growing preference for sustainable and eco-friendly fashion. By incorporating environmentally conscious practices into our production processes, we not only meet evolving consumer expectations but also contribute to a positive brand image. Concurrently, optimizing our production efficiency is imperative for achieving a cost advantage. Exploring innovative technologies and refining manufacturing processes allows us to reduce production costs, thereby enhancing profit margins for both our Jeans and Tops. With an eye on market dynamics and a focus on production optimization, we position our factory for continued success in this competitive and ever-evolving market.

Parameters

	Jeans	Top
Sales, units	120000	180000
Price per unit	800	600
Variable cost per unit	500	350
Contribution per unit	300	250
	Jeans	**Top**
Previous Period Financials, mn INR		
Revenue	96	108
Variable cost	60	63
Gross profit	36	45
Advertising	5	7
Quality control	8	6
Administration cost	10	11
		Company-wide
Production		
Production line cost, mn INR		120
Depreciation, years		10
Production Capacity, units		310000
Capacity reduction, %		20%
Inventory holding cost per unit, INR		90

Figure 7 The Market Tab

2.4 Marketing

The decision-making process begins in the Marketing section, where participants have to estimate product demand, set prices, and allocate budgets for advertising and quality control. By leveraging market data, parameters, and demand trends, participants can make informed decisions. Setting competitive and attractive prices is essential for maximizing sales and profitability, while taking market demand and cost structures into account. Budgeting for promotional activities is crucial to enhance product visibility, attract potential customers, and drive sales. Investing in quality control processes ensures that products meet high standards, thereby boosting customer satisfaction and strengthening brand reputation.

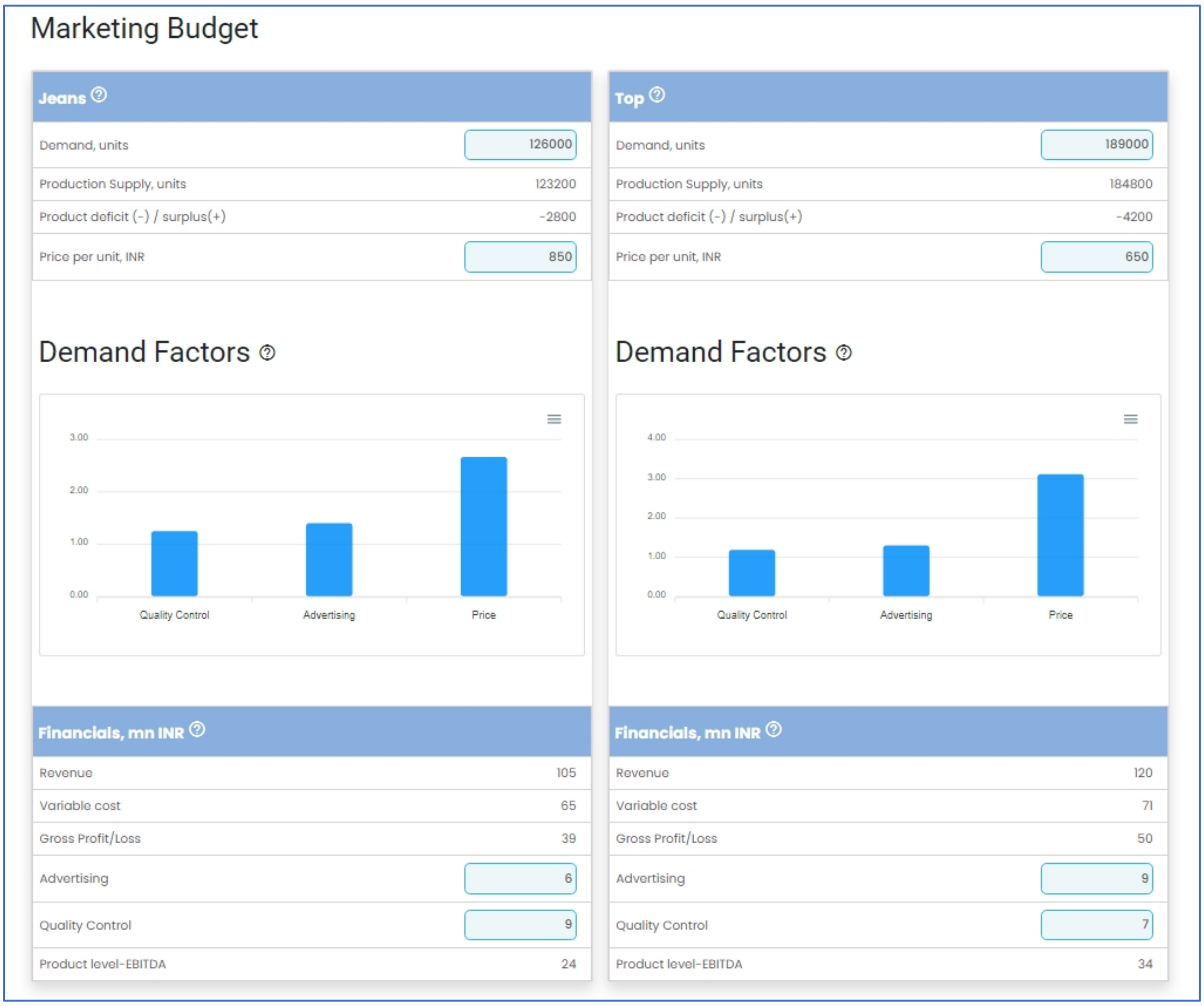
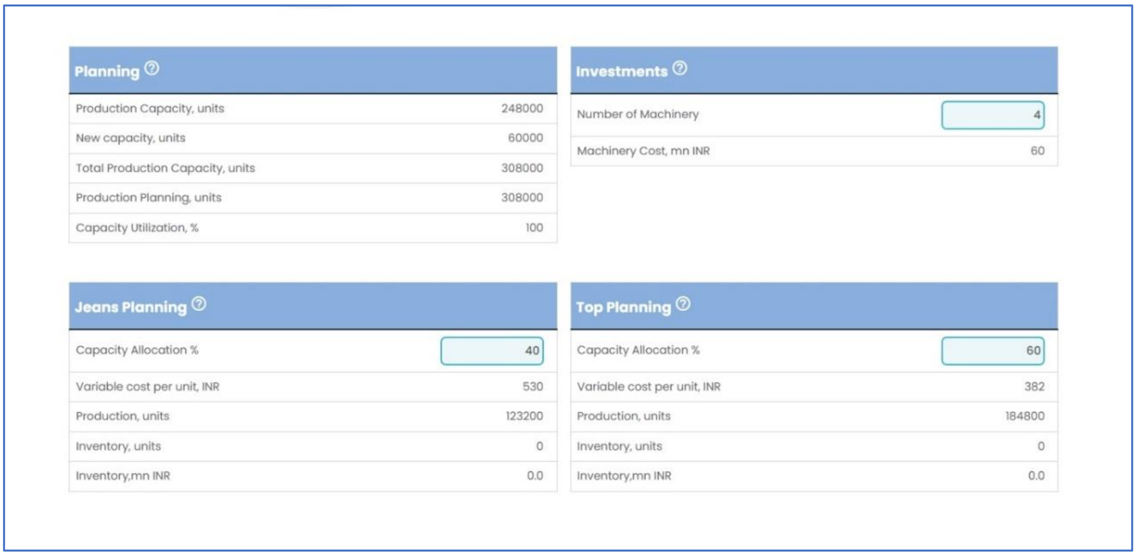


Figure 8 Marketing decision area in the game Arena

2.5 Production

On the Production page, participants manage production planning and capacity allocation. Their objective is to synchronize production with projected demand by potentially investing in plant expansion to boost capacity. Capacity allocation involves efficiently distributing production resources across different products or lines, aiming to meet demand without overwhelming existing facilities.



Planning	
Production Capacity, units	248000
New capacity, units	60000
Total Production Capacity, units	308000
Production Planning, units	308000
Capacity Utilization, %	100

Investments	
Number of Machinery	4
Machinery Cost, mn INR	60

Jeans Planning	
Capacity Allocation %	40
Variable cost per unit, INR	530
Production, units	123200
Inventory, units	0
Inventory,mn INR	0.0

Top Planning	
Capacity Allocation %	60
Variable cost per unit, INR	382
Production, units	184800
Inventory, units	0
Inventory,mn INR	0.0

Figure 9 The planning area under the Production Tab in Game Arena

2.6 Decision checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist. The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose save and proceed. It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

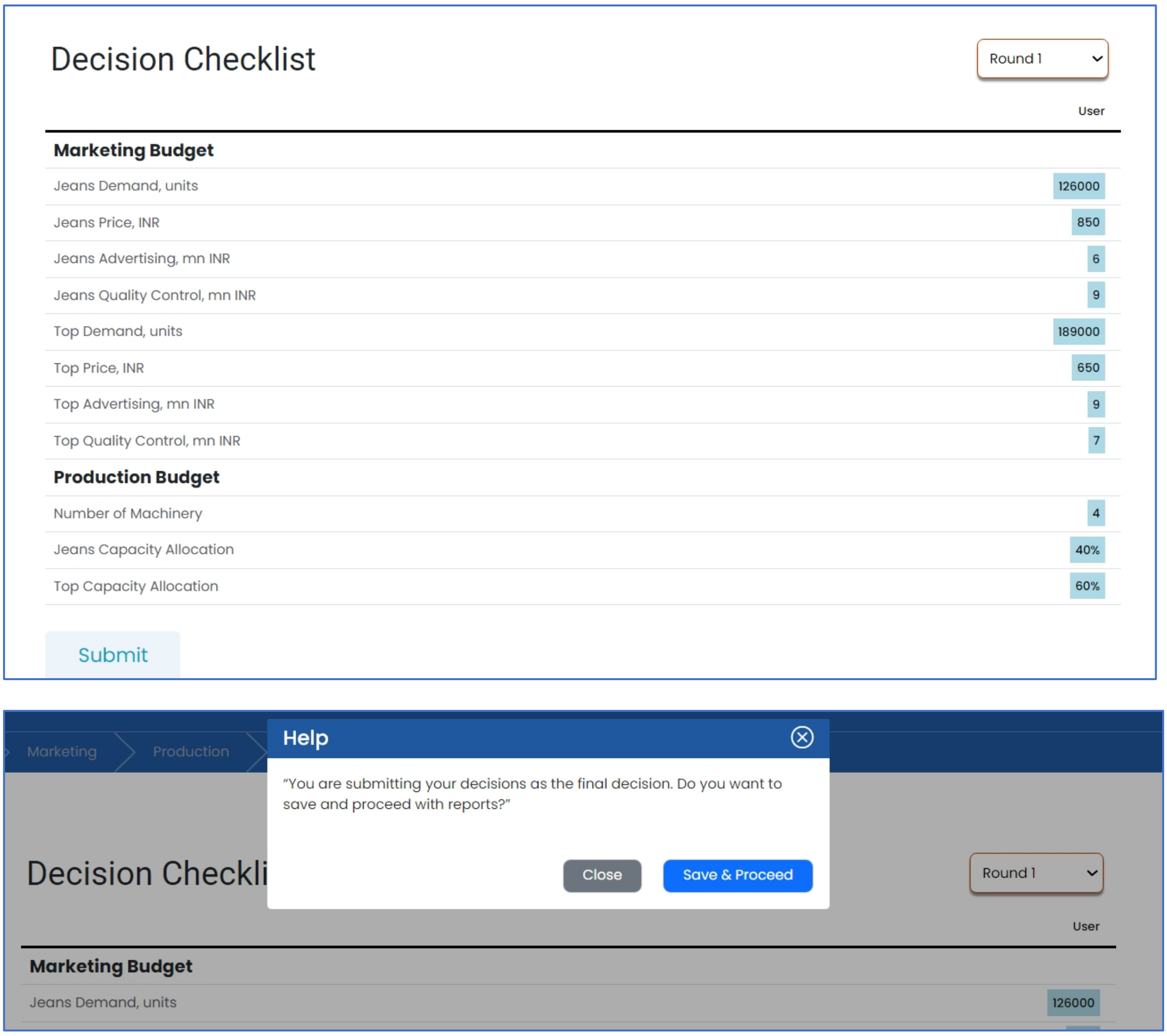


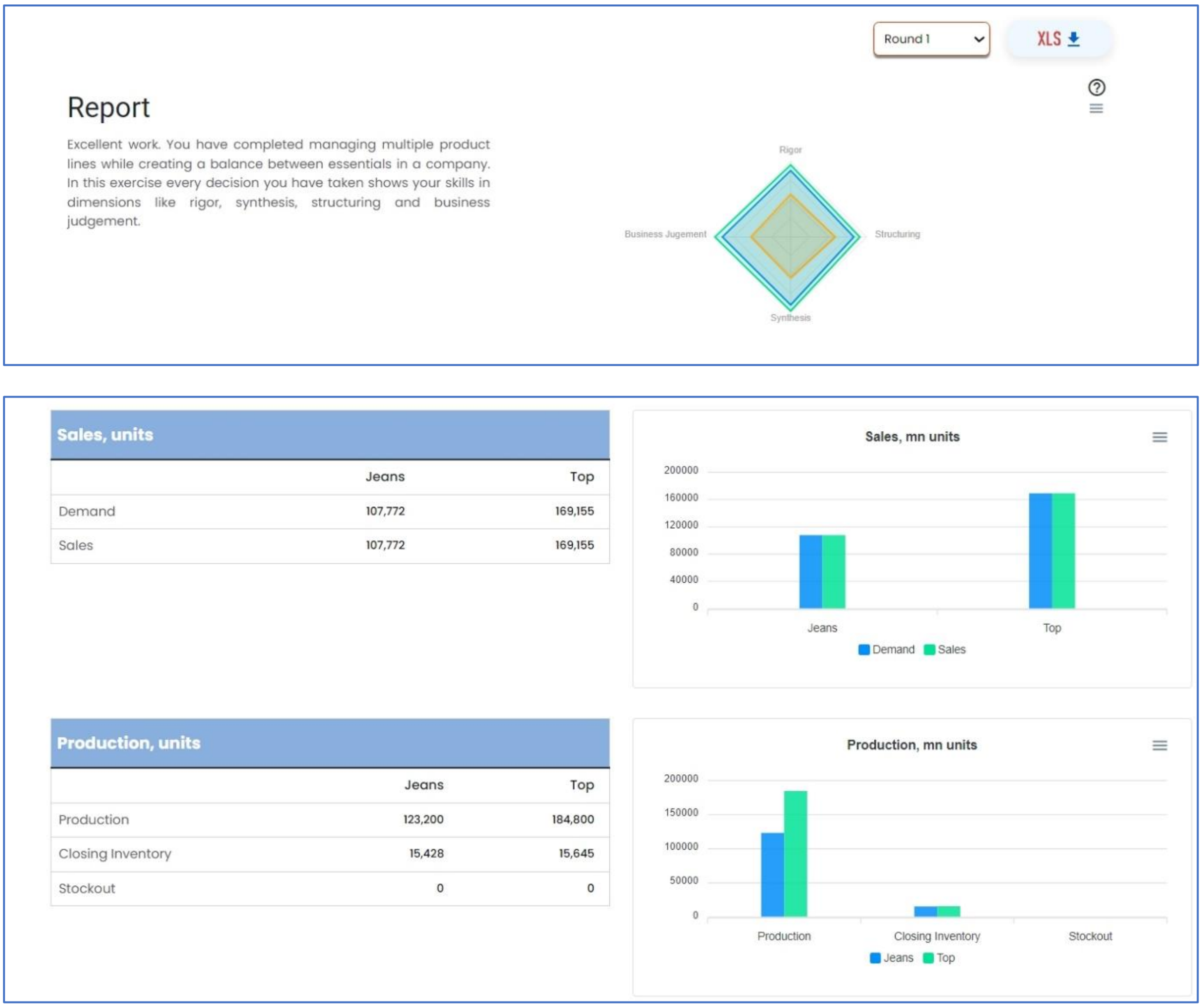
Figure 10 The Decision Checklist

2.7 Report

The report section provides the details on the participants' critical thinking abilities in each aspect. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour: Consistency throughout the decision-making and recommendation.
- Structuring: Logical approach of gathering and analysing information
- Synthesis: Approach towards interpreting information and making informed decisions
- Business Judgement: Ability to evaluate facts, and consider risks and possible implications when making decisions.



Sales, units

	Jeans	Top
Demand	107,772	169,155
Sales	107,772	169,155

Production, units

	Jeans	Top
Production	123,200	184,800
Closing Inventory	15,428	15,645
Stockout	0	0

Figure 11 The Report Section

In the report section, the participants can see the sales achieved vs the demand set for the round. The details on the production planning, whether there is any stockout or not. The report also consists of the operating income, KPI product level such as the Operating margin, contribution Ratio, market share. The break-even point contains information on the break-even sales and margin of safety. KPI company level includes company level operating margin, market share, operating profit or loss.

Sales Achieved vs. Demand Set: This section compares the actual sales figures to the forecasted demand for the round. A higher actual sales figure compared to the demand set indicates better-than-expected performance, while lower sales suggest a shortfall in meeting market expectations.

Production Planning Details: This part provides insights into how well the production was planned. It includes information on whether there was a stockout (a situation where demand exceeds supply, leading to missed sales opportunities) or if production met or exceeded the demand.

Operating Income, mn INR

	Jeans	Top
Revenue	92	110
Production cost	57	65
Gross Profit/Loss	34	45
Advertising	6	9
Quality	9	7
Inventory holding cost	1	1
Administration	9	11
EBITDA	9	17
Depreciation	7	11
Operating Profit/Loss	2	6

Break even point

	Jeans	Top
Breakeven sales, mn INR	85	89
Breakeven sales, units	99,953	137,299
Margin of safety, units	7,819	31,856

KPI company-wide

Operating Margin	4%
Market Share	26%
Operating Profit/Loss, mn INR	8

KPI product level

	Jeans	Top
Contribution Ratio	26%	30%
Operating Margin	2%	6%
Market Share	26%	27%

Figure 12 The Report Section

Operating Income: Operating income is the profit generated from the core business operations, excluding any income from investments or taxes. It is a crucial measure of the company's efficiency in managing its primary business activities.

KPI Product Level:

- Contribution Ratio: This metric shows the portion of sales revenue that contributes to covering fixed costs and generating profit. It is calculated as (Sales - Variable Costs) / Sales.

- Operating Margin: This ratio measures the percentage of revenue that remains after deducting operating expenses. It indicates the profitability of the product before interest and taxes.

- Market Share: Market share represents the percentage of total sales in the market attributed to a specific product. It provides insights into the product's competitive position in the market.

Break-even Point:

- Break-even Sales: The level of sales at which total revenues equal total costs, resulting in neither profit nor loss. It helps in understanding the minimum sales needed to cover all costs.

- Margin of Safety: This indicates how much sales can drop before the company reaches its break-even point. A higher margin of safety suggests a more secure position against sales fluctuations.

KPI Company Level:

- **Company-Level Operating Margin**: Similar to the product-level operating margin, but calculated for the entire company. It shows the overall profitability of the company's operations.

- **Company-Level Market Share**: The total market share held by the company across all its products. It indicates the company's overall presence and competitiveness in the market.

- **Operating Profit or Loss:** The net result of the company's operations after deducting operating expenses from operating income. A positive value indicates profit, while a negative value indicates a loss.

2.8 Synopsis

The synopsis section offers a concise summary of key decision areas and outcomes, highlighting critical insights including the KPI achieved and strategic directions taken during the simulation, facilitating comprehensive understanding and future planning.

Round 1 XLS

Synopsis

Decisions

Parameters	Input
Jeans Demand, units	126,000
Jeans Price, INR	850
Jeans Advertising, mn INR	6
Jeans Quality Control, mn INR	9
Top Demand, units	189,000
Top Price, INR	650
Top Advertising, mn INR	9
Top Quality Control, mn INR	7
Number of Machinery	4
Jeans Capacity Allocation	40%

Operating Income, mn INR

Parameters	Jeans	Top
Revenue	92	110
Production cost	57	65
Gross Profit/Loss	34	45
Advertising	6	9
Quality	9	7
Inventory holding cost	1	1
Administration	9	11
EBITDA	9	17
Depreciation	7	11
Operating Profit/Loss	2	6

CVP Analysis, INR

Parameters	Jeans	Top
Price per unit	850	650
Variable cost per unit	628	455
Contribution per unit	222	195

Parameters	Jeans	Top
Breakeven sales, mn INR	85	89
Breakeven sales, units	99,953	137,299
Margin of safety, units	7,819	31,856

KPI product level

Parameters	Jeans	Top
Contribution Ratio	26%	30%
Operating Margin	2%	6%
Market Share	26%	27%

KPI company-wide

Parameters	Output
Operating Margin	4%
Market Share	26%
Operating Profit/Loss, mn INR	8

Thinking Ability

Parameters	Score
Marketing budget	100%
Production budget	100%

Round 2

Figure 13 The Synopsis

To proceed to the next round, click on the “next round” at the bottom of the synopsis section. This will redirect participants to the home page, where they can access the next round by clicking on the corresponding card.